

Operational Continuity

Source: <https://www.prarulebook.co.uk/prarules/operational-continuity/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:49

1

Application and Definitions

1.1

This Part applies to a `_CRR firm_` that receives `_critical services_` supporting `_critical functions_` if it fulfils any of the following conditions on 1 January of any year:

1. (1) the average of the `_firm?s_` total assets it was required to report for the previous 36 months in accordance with Chapters 7 and 9 of the Regulatory Reporting Part of the `_PRA_` Rulebook exceeds £10bn;
2. (2) the average of the `_firm?s_` `_safe custody assets_` it was required to report for the previous 36 months in accordance with SUP 16.14 of the `_FCA Handbook_` as amended from time to time exceeds £10bn; or
3. (3) the average total amount of received sight deposits it was required to report for the previous 36 months in accordance with the `_ITS on supervisory reporting_`, or that it would have had to report if the `_ITS on supervisory reporting_` had been in force, exceeds £350m.

1.2

This Part ceases to apply to a `_CRR firm_` to which it applies under 1.1 if the `_firm_` does not meet any of the conditions in 1.1 on 1 January in each of two consecutive years.

1.3

1.2 does not prevent this Part applying to a `_CRR firm_` on a subsequent occasion if one of the conditions in 1.1 is met again.

1.4

A `_firm_` must calculate the averages in 1.1 by adding the values it was required to report each time a report was due and dividing the total by the number of times the report was due.

1.5

In this Part, the following definitions shall apply:

`_core business lines_`

means business lines and associated services which represent material sources of revenue, profit or franchise value for a `_firm_` or for its `_group_`.

`_critical services_`

means activities, functions or services performed for one or more business units of the `_firm_` or for the `_firm_` and another member of its `_group_`, whether by the `_firm_` itself, any other `_group_` member or a person outside the

_firm?s_group_, the failure of which would lead to the collapse of or present a serious impediment to the performance of the **_firm?s_critical functions_** or **_core business lines_**.

CSD

has the meaning given in Article 2(1)(1) of **_CSDR_**.

CSDR

means Regulation (EU) No 909/2014 of the European Parliament and of the Council of 23 July 2014 on improving securities settlement in the European Union and on central securities depositories and amending Directives 98/26/EC and 2014/65/EU and Regulation (EU) No 236/2012.

excluded agreement

means a contract or other agreement for the provision of **_critical services_** to a **_firm_** :

1. (1) which is governed by the laws of any part of the **_United Kingdom_** ;
2. (2) the parties to which are incorporated in, or formed under the law of any part of, the **_United Kingdom_** ; and
3. (3) the parties to which belong to the same **_resolution group_**.

excluded person

means a **_payment system_** , **_CSD_** , **_third-country CSD_** , **_SSS_** or **_central counterparty_**.

group provider

in relation to a **_firm_** , means:

1. (1) a member of its **_group_** that provides **_critical services_** to it; or
2. (2) the **_firm_** itself if one of its business units provides **_critical services_** to it.

ITS on supervisory reporting

Commission Implementing Regulation (EU) No 680/2014 as amended by Commission Implementing Regulation (EU) No 2016/313 laying down implementing technical standards with regard to supervisory reporting of institutions according to Regulation (EU) No 575/2013 of the European Parliament and of the Council.

payment system

has the meaning given in section 182 of the Banking Act 2009.

resolution group

has the meaning given in section 3(1) of the Banking Act 2009.

safe custody asset

has the meaning in the **_FCA Handbook_** as amended from time to time.

SSS

has the meaning given in Article 2(1)(10A) of **_CSDR_**.

third-country CSD

has the meaning given in Article 2(1)(2) of _CSDR_.

2

Facilitation of Effective Recovery and Resolution Planning

2.1

A _firm_ must ensure the operational arrangements for the _critical services_ it receives facilitate the effective execution of:

1. (1) its _recovery plan_ ; and
2. (2) the _group recovery plan_ of its _group_.

2.2

A _firm_ must ensure the operational arrangements for the _critical services_ it receives facilitate the effective planning for and effective taking of actions in the event of:

1. (1) circumstances in which all or part of its business is likely to fail; or
2. (2) the failure of all or part of its business.

2.3

A _firm's_ operational and financial arrangements must ensure the continuity of the _critical services_ it receives in the event of:

1. (1) circumstances in which all or part of the business of any member of its _group_ is likely to fail; or
2. (2) the failure of all or part of the business of any member of its _group_.

3

Details of Operational Continuity Arrangements

3.1

A _firm_ must:

1. (1) identify and document the details of the _critical services_ it receives and details of the _critical services_ required to deliver each of its _critical functions_ and _core business lines_ ; and
2. (2) be able to demonstrate it can put in place transition arrangements for the continuity of the _critical services_ in receives in the event of the _firm_ being restructured or resolved.

3.2

Subject to 3.2A, if a _firm_ receives _critical services_ from another party, it must ensure the agreement governing the provision of these services:

1. (1) does not permit the other party to terminate, suspend or materially alter the services or facilities or the agreement as a result of the deterioration in the financial circumstances or the resolution of the _firm_ or any of its _group_ members; and
2. (2) entitles the _firm_ to continue to receive those services during the _firm's_ resolution or restructuring as long as the _firm_ fulfils its payment obligations under the agreement.

3.2A

3.2 does not apply in respect of an _excluded agreement_ or an agreement entered into by a _firm_ with an _excluded person_.

3.3

If a _firm_ receives _critical services_ from another party, it must ensure that the agreement governing the provision of those _critical services_ is set on arm's length terms.

3.3A

A _firm_ must ensure that the charging structure for the _critical services_ it receives is predictable and transparent.

3.4

A _firm_ must ensure access by the _firm_, the service provider and the _PRA_ to the operational assets supporting _critical services_ is not disrupted in the event of a _group_ member being restructured or resolved.

4

Group Arrangements for Operational Continuity

4.1

This chapter applies to a _firm_ that receives _critical services_ from a _group provider_.

4.2

A _firm_ must ensure the _group provider_ has a governance and management structure in place that supports the continuity of the provision of _critical services_ to the _firm_.

4.3

A _firm_ must ensure that in the event of the deterioration in the financial circumstances of another _group_ member the _group provider_ continues to provide _critical services_ to the _firm_ in accordance with the agreement governing the _critical services_ provision or the documentation and transition required under 3.1.